

Washington Policy Perspectives

US exceptionalism is back but with fatter tails, thinner patience

Top 10 takeaways from Washington, DC

1. **US financial exceptionalism remains intact, outweighing fallout from Iran conflict.** AI-led capex, easy financial conditions, and a deregulatory impulse point to upside growth risk, despite Iran shock.
2. **Higher macro and market regime being normalized.** Structurally firmer inflation, higher term premium and outsized daily market moves are increasingly treated as “the new normal” with fiscal and debt concerns still notably underweighted in market pricing.
3. **Consensus but wide range of views on timing and magnitude of Fed hikes.** Skepticism is high on lowering inflation, with Warsh taking an absolutist posture on eliminating forward guidance with open questions on what task forces will achieve.
4. **Dollar debasement trade is off the immediate radar.** Strong demand for USD financial assets outpaces de-dollarization concerns; with rates repricing, there is less urgency to increase gold allocations at the margin.
5. **The politics of AI have arrived as the next fault line.** Backlash risks are building around income inequality, datacenter sites, and regulatory authority and jurisdiction.
6. **Midterms are seen as incremental, not transformational.** Trump achieved his main legislative objectives in the first half of his term; the base case is for a House flip but by a modest margin, while the Senate is still favored to remain Republican-controlled.
7. **Tariff policy is framed as normalization, not escalation,** aiming to revert to pre-Supreme Court IEEPA ruling levels via a tiered structure—lowest for USMCA partners, highest for China.
8. **Small businesses benefit from “manufacturing renaissance” tied to AI buildout.** This provides an offset to higher tariffs, but consumer confidence is waning for low-income cohorts.
9. **“Constructive strategic stability” should hold for US-China relations over near term.** US is focused on buying time to reduce critical dependencies.
10. **G2 dynamics still anchor the global order narrative,** as “Middle Powers” fade from focus and concerns grow that an AI supercycle widens the gap versus Europe, the UK, and EM.

We hosted meetings with policymakers, official creditors and independent speakers from think tanks and advisory firms in Washington, DC on June 25 to discuss US policy priorities, geopolitics and the global economic outlook. Note that all meetings were conducted under Chatham House rule, and the views presented in this note represent the perspectives of the speakers and market participants at the meetings and are not necessarily the opinions of J.P. Morgan's Global Research franchise. We also include a recap of the J.P. Morgan Global Research Midyear Outlook as a point of reference.

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US Exceptionalism, New Macro Regime: Top 10 Takeaways from Washington, DC

The macro narrative from US officials has returned to pre-Iran conflict themes that we heard earlier this year (see [Washington Policy Perspectives: Full Throttle: US economy running hot despite ongoing uncertainty](#), Joyce Chang, Amy Ho et al., 20 Jan). Administration officials emphasized upside risks to US growth from AI-driven productivity gains and OBBBA-related spending, with views that potential growth could rise to 2.5%, while deregulation potentially adds 30-90bp to growth over 20 years. US officials also pointed out that oil prices are below January 2025 levels and characterized the labor market as healthy, with unemployment levels stable even as their estimates for break-even payrolls have fallen to sub-50k.

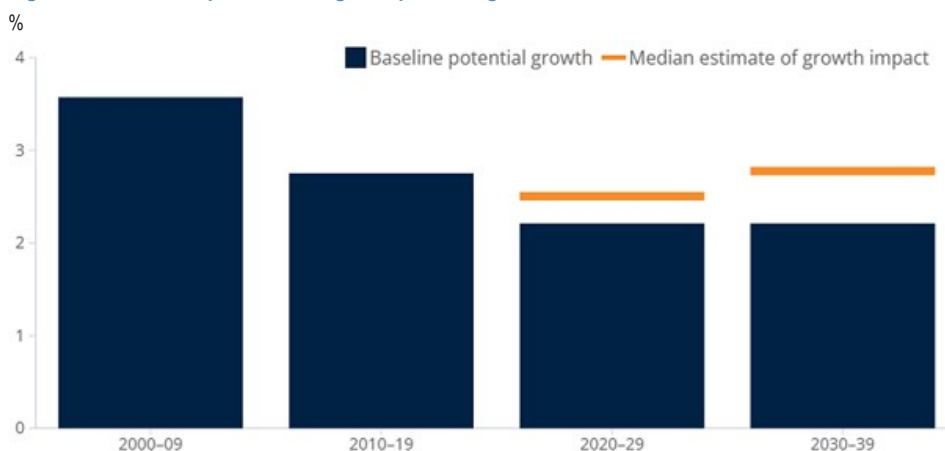
Rather than rolling out new initiatives, the administration is emphasizing its legacy and citing America First policies as laying the foundation for a “Golden Age”, as highlighted in the [America First Resilience Strategy](#) released on June 23. Four key tenets define the resilience strategy: the prioritization of risk, modernization of systems, distribution of responsibility through federalism, and simplification of governance. The stated goal is to collectively strengthen the core resilience domains of national security, the economy, public health and safety, and infrastructure reliability, while ensuring affordability, advancing the resilience objectives identified in the 2025 National Security Strategy, assuring America’s “Golden Age” for the long term.

The rapid move down in oil prices has fueled market strength but also far greater conviction that we have entered a new regime of structurally higher inflation and rate volatility, which will keep term premium supported. Supply shocks from trade and geopolitical fragmentation, a higher neutral rate from AI, and less forward guidance all suggest structurally higher term premium going forward. “Higher for longer” is now the base case, and there is broader consensus that AI investment is inflationary in the near term.

1. US financial exceptionalism remains intact, outweighing fallout from Iran conflict.

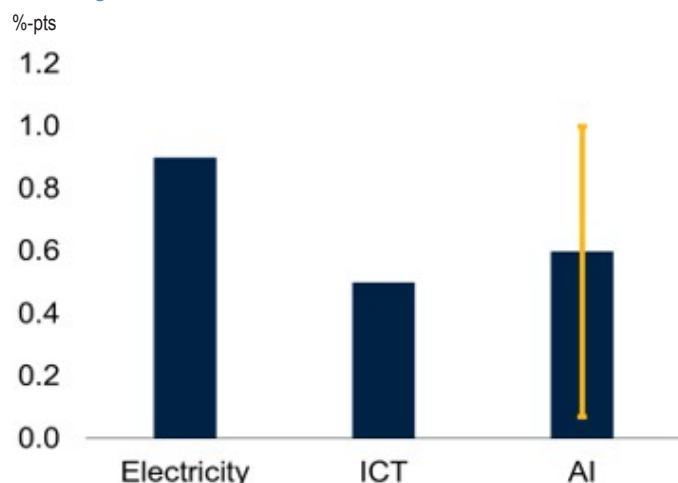
US-led AI investment is expected to boost productivity and growth, but official creditors have a wide range of views on the magnitude and time frame. The IMF sees even a 0.2-0.3%-pt increase in productivity growth as meaningful over the near term and expectations beyond that could be overly optimistic. Over the long-term, the World Bank estimates AI-related productivity growth to be ~2.75%-pt, higher than ICT and lower than electricity. The June 2026 World Bank [Global Economic Prospects](#) report notes that in the baseline scenario, global productivity growth averages about 0.8%-pt per year in the 2020s and 2030s, reflecting the slowdown observed since the 2000s projections. If widespread AI adoption leads to a transformative repeat of the historically strongest 10-year productivity growth rate observed across economies, this implies global productivity growth of ~2.7% per year.

Figure 1: Possible impact of AI on global potential growth



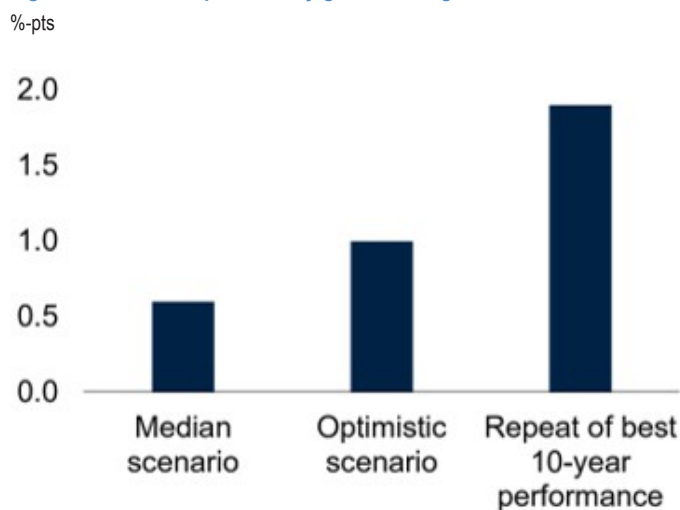
Note: TFP = total factor productivity. Averages, weighted by gross domestic product (GDP), of production function-based estimates of potential growth. Sample includes 31 advanced economies and 52 EMDEs. Markers show the predicted impact of each scenario on global potential growth.
Source: Kose and Ohnsorge (2024); World Bank.

Figure 2: Estimated productivity impact of general-purpose technologies



Note: Productivity refers to total factor productivity (TFP). Bars show the impact of the electricity and ICT revolutions on productivity growth in Europe and the US, respectively, taken from Aghion and Bunel (2024). Labor productivity estimates were converted to TFP estimates assuming a capital share of one-third. For the impact of AI, the bar shows the median impact estimated in the literature for the United States, and the whisker shows the range of estimates. The impacts for the electricity and ICT revolutions apply to a period of 12 years each. The estimated impact of AI generally spans a period of 10 years in the literature.
Source: Aghion and Bunel (2024); World Bank.

Figure 3: Illustrative productivity growth changes



Note: Productivity refers to total factor productivity (TFP). Bars show global TFP growth increase in each scenario.
Source: Aghion and Bunel (2024); World Bank.

If AI delivers high productivity uplift, the slowdown in global potential growth could be reversed. Growth in the 2030s would exceed the average recorded in the 2000s, making the decade the strongest period of global growth. Global potential growth could move back toward 2010 levels, and in a stronger case could move it closer to the early 2000s pattern. Across advanced economies, the share of capital in national income has risen with past technological waves and is expected to rise with AI, raising distributional risks (declining labor share and potential increases in inequality) unless mitigated by policy. While AI benefits are concentrated in the US and a few large economies, spillovers elsewhere are likely smaller and benefit EMs indirectly.

Our US equity strategy team [highlights](#) that the AI capex and data-center buildout are driving unprecedented positive earnings growth revisions. Consensus earnings

growth has been revised up ~20% on average over the next 2 years, tracking a near-doubling of AI capex. Hyperscaler companies are guiding to ~\$730bn of capex this year, with 2027 projected at over \$900bn, while AI-related investment to the end of the decade could reach \$5.5trn. AI data center debt issuance is greater than \$300bn and is now the largest “sector” in the US High Grade corporate bond market (see [Global Equity Strategy: 2026 Midyear Outlook](#), Dubravko Lakos-Bujas, 24 Jun and [AI Capex 2.0: If You Build It, They Will Finance It - Updated Growth Capital Markets Forecasts](#), Tarek Hamid, 17 Jun).

Speakers noted that the US outlook is far less vulnerable to geopolitical oil price shocks than in the past, citing a recent study from the Federal Reserve Bank of Dallas. The US economy has reduced its dependence on oil and changed from a major net oil importer to a net oil exporter. Recent Federal Reserve Bank of Dallas [research](#) shows that the response of US real (inflation-adjusted) GDP growth to this shock is only one-twentieth of what it would have been in 1980. Moreover, the response of US real GDP growth today is only one-sixth of the decline in the rest of the world.

Speakers differed on the probability of a return to a full-scale US-Iran conflict, but there was agreement that Iran will maintain leverage through access to the Strait of Hormuz. While some speakers assigned a low probability to a return to large-scale conflict before year-end, low-level strikes persist and are likely to continue. Other speakers saw closer to a 100% chance of a renewed conflict before year-end, now paused to focus on the mid-term elections and to let oil prices ease. Cuba was also flagged as a possible next target for US pressure given the administration’s pattern of treating Venezuela and the Iran strikes as foreign policy wins to build on.

Iran can maintain pressure on shipping despite suffering losses, and this asymmetric leverage is expected to become a more entrenched pillar of Iranian security strategy going forward. The US-Iran MOU looks unlikely to be a real diplomatic off-ramp, and there is no clear path to securing the Strait of Hormuz. The choice is seen as binary: either to make Iran unable to keep harassing civilian shipping, or to make it unwilling to. The “unable” option would require limiting Iranian missile and drone fire and then providing convoy escort, but the US Navy has ~75 destroyers and years of underinvestment in smaller escort vessels, leaving the US reluctant to risk ships on a high-risk mission without a coalition partner to share the burden. The “unwilling” option leans on economic pressure and negotiation.

While Iran is likely to remain a source of geopolitical instability, the more lasting consequence may be a weaker US security umbrella in the Middle East and higher regional defense spending. Speakers expect further domestic unrest in Iran over time given the regime’s underlying economic weaknesses and lack of public legitimacy, although the opposition remains fragmented and largely disconnected from actors inside the country. Iran demonstrated its ability to threaten the broader global economy through regional disruption, while the US emerged with a less credible regional security umbrella than before the conflict. That dynamic is expected to encourage Gulf states to increase defense spending, strengthen critical infrastructure, and invest more heavily in regional security.

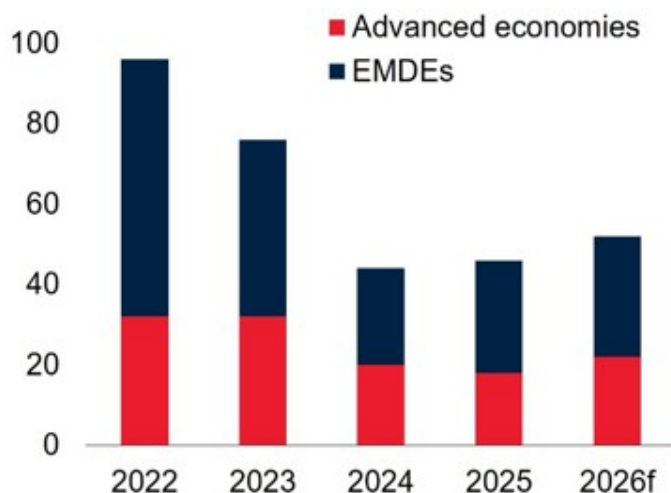
The UAE absorbed a disproportionate share of Iranian missile and drone fire during the war and is wary of US negotiating tactics. Washington’s offer to Tehran of a \$300bn reconstruction package has reinforced Gulf doubts about whether the US will follow through on security commitments when it matters. Allies bearing risk without being consulted, followed by deals that undercut the rationale for the war is a source of friction that will shape how willingly Gulf states cooperate with Washington on the next phase of Iran policy.

2. Higher macro and market regime being normalized.

Speakers asserted that we are operating in a world where supply-side shocks are more frequent, term premia are higher and fiscal dynamics matter more. Markets no longer assume that long-term rates will naturally return to the levels we became accustomed to before the pandemic. Speakers argued that elevated rates reflect the inflationary regime more so than clear fiscal and institutional risks in the US. The World Bank projects global headline inflation to pick up to 4% this year, with advanced economies and EMDEs seeing headline inflation rise due to increases in energy costs. They also project that global inflation will moderate to 3.1% next year as the average crude price declines from \$94/bbl in 2026 to \$76/bbl in 2027. J.P. Morgan's Commodities team now forecasts Brent averaging \$86/bbl in 3Q26 and \$80/bbl in 4Q26, exiting 2026 at \$78/bbl, and averaging \$64/bbl in 2027 (see [Oil Markets Weekly: Right shock, wrong price](#), Natasha Kaneva, 24 Jun).

Figure 4: Share of economies with headline inflation above target

% of economies

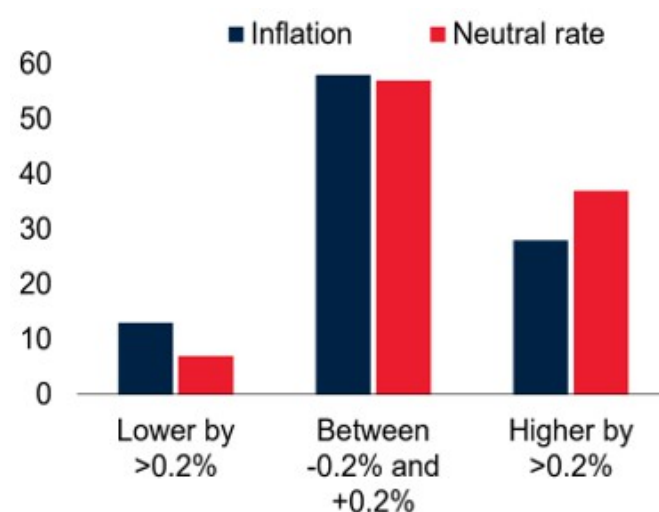


Note: Bars show the share of economies with headline inflation above target, based on average monthly year-on-year inflation. 2026 data are from May 2026 Consensus Economics surveys. Sample includes 16 advanced economies and 34 EMDEs.

Source: Consensus Economics; Haver Analytics; IMF; World Bank; Zhang (2025).

Figure 5: Survey-based expectations of macroeconomic effects of AI

%



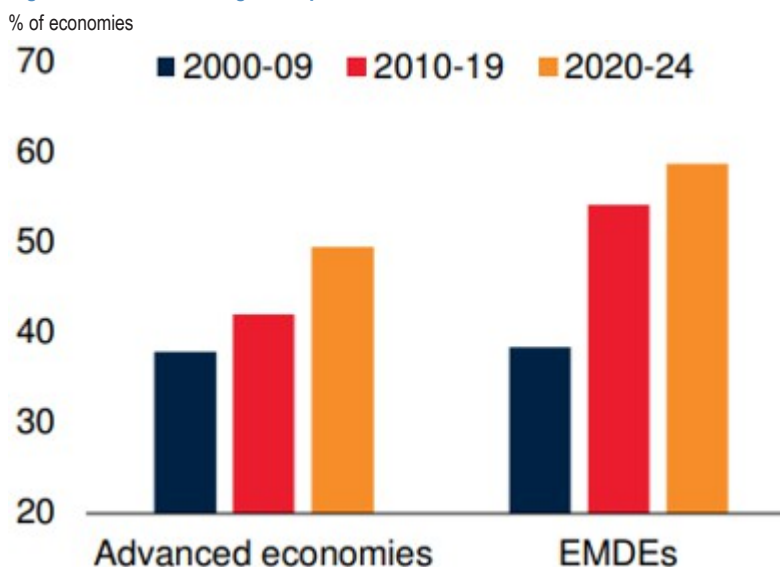
Note: Bars show the share of responses to the Financial Times-Chicago Booth survey on the likely effects of the AI boom on Personal Consumption Expenditure (PCE) inflation and the neutral real interest rate over the next two years. Numbers may not sum to 100 because of rounding.

Source: Financial Times-Chicago Booth survey; World Bank.

Fiscal issues remain unsolvable, with politicians increasingly looking to the private sector for guidance. It remains the case that fiscal math is unsustainable, but seemingly-practical solutions nevertheless still fall victim to political dynamics. Speakers suggested that members of Congress are keen to solicit feedback from the private sector on how best to thread the needle between political viability and real change that markets will approve of.

Sovereign debt dynamics present growing risks, with debt-to-GDP ratios rising significantly in both advanced and emerging economies, reducing fiscal space and increasing vulnerability to higher interest rates. A speaker noted that borrowing costs rise sharply once debt-to-GDP passes roughly 25-30%, making higher debt sovereigns much more vulnerable to financing stress. In EM, debt-to-GDP has increased from about ~35% historically to around ~75%, while debt service ratios have risen from roughly 6-7% to about 10-11%. Country-specific resilience varies a lot across the EM universe. Countries with prior debt crises generally face much larger spread increases for a given rise in debt-to-GDP.

Figure 6: Debt-increasing fiscal positions



Note: Bars show the share of economies in each group with a primary balance sustainability gap of less than zero. The primary balance sustainability gap is calculated as the difference between the primary balance and the debt-stabilizing primary balance. Sample includes 34 advanced economies and 81 EMDEs.

Source: Gootjes, Mawejje, and Vorisek (2026); International Monetary Fund; Kose et al. (2022); World Bank.

3. Consensus but wide range of views on timing and magnitude of Fed hikes.

The Great Moderation is seen as over and speakers suggested that there is a shift to a 3% inflation regime. The straightforward guidance from the FOMC is that their focus of concern has shifted toward inflation and that rate hikes are under consideration. Core inflation in 2026 (3.3%) and 2027 (2.5%) moved materially higher, while the committee shifted from a downside to a balanced assessment of growth and labor market risks. The FOMC requires consensus and at least half the Committee on record worried about sticky inflation and tariff effects, with regional Fed presidents more focused on easy financial conditions. Moving well beyond the removal of a 2026 rate cut, the June dot plot shows nine members anticipating hikes this year, with six looking for two or more moves. Given a tightening labor market and firming inflation, many Fed members have called into question the restrictiveness of the current policy stance.

It is unclear if Warsh's task forces will break new ground or rehash old debates.

The decision to eschew all forward guidance was seen as potentially contributing to structurally higher volatility. Individual governors and regional Fed presidents might not take such an absolutist view on eliminating forward guidance. The absence of any communication also means the loss of an asymmetric easing signal.

Most investors see the risk of earlier Fed hikes than J.P. Morgan's 2H27 forecast.

Speakers argued private capital flows are of more significance than reserve capital flows for UST funding, especially as Treasury demand has evolved to more price-sensitive foreign buyers in recent years. However, 10-year Treasury yields have been on the same plateau since 2023 and the gap between 2-year and 10-year yields has remained at a relatively stable normal level. Our US rates strategy team points out that various measures of the real neutral rate suggest that, absent a reduction in inflation, a mid-cycle adjustment entailing 50-100bp of tightening in policy rates would be required to reassert a restrictive stance. Their template suggests that the Fed could raise rates by roughly 50-100bp during a mid-cycle adjustment, translating to a roughly 75bp rise in 1y1y OIS. Their fair value framework implies an additional 50bp rise in intermediate

Treasuries and a 30bp flattening in the 5s/30s curve, favoring soft bearish exposure via 10s/30s flatteners (see [US Treasury Daily: Party like it's 1999](#), Jay Barry et al., 25 Jun).

4. Dollar debasement trade is off the immediate radar.

Arguments for the erosion of USD supremacy have been around for multiple decades; but this seems overstated, when looking across USD dominance in reserves, invoicing, denomination of debt securities, strength of institutions and lack of suitable replacements. USD hegemony can persist, but assumes no further policy-induced deterioration of the USD's traditional supports. But the post-Liberation Day environment has provided the most acute challenge yet to these assumptions, as evidenced by the sharp shift in USD-equity correlations that pointed to a tactical loss of 'safehaven' demand a year ago. While it is encouraging and instructive that the correlation has since normalized, further unconventional or unorthodox challenges may legitimately erode the foundations of USD hegemony—akin to “termites in the foundation” according to a speaker. In other words, the greatest challenge to the dollar may be the US itself.

5. The politics of AI have arrived as the next fault line.

The politics of AI are increasingly obvious. Speakers believe this is potentially one of the most consequential moments of our lifetime. But this has political ramifications, and hyperscalers have fumbled early communications around the rollout of things like data centers, creating political costs and liabilities. More successful political messaging requires better communications, education, best practices and sound decision-making. Barring that, there is a real risk of massive political backlash as work, education, warfare and healthcare are all potentially radically transformed with high associated risks and unpredictability of forward progress on AI.

AI has become both an economic tailwind and an emerging political risk, with Washington's enthusiasm increasingly diverging from local concerns. Nationally, AI continues to support investment, manufacturing activity, and broader economic resilience through demand for data centers, semiconductors, defense technologies, and related infrastructure. At the local level, however, communities are becoming increasingly concerned about electricity prices, tax incentives, environmental impacts, property values, and the longer-term implications of AI for employment and economic inequality.

Foreign influence, cyber threats, and AI are becoming increasingly intertwined, making it harder to separate national security, economic security, and democratic resilience. Speakers argued that authoritarian governments continue to exploit social divisions through disinformation campaigns regardless of ideology, amplifying whichever voices create the greatest instability. The rollback of many post-2016 safeguards by governments and social media platforms has made the online environment considerably more permissive for foreign influence operations, while AI-generated content and deepfakes are expected to make attribution even more difficult. At the same time, AI governance is likely to evolve through hybrid public-private partnerships rather than traditional regulation, reflecting both the speed of technological change and the reality that the private sector controls much of the compute, data, and technical expertise underpinning national security. Congress continues to struggle to keep pace with technological change, much as it did with social media, while many AI companies remain deeply resistant to regulation because they view it as a threat to innovation and US competitiveness relative to China.

6. Midterms are seen as incremental, not transformational.

The midterm election outlook remains defined by a resilient but politically vulnerable US economy, with AI investment and consumer spending helping to offset major headwinds from tariffs, immigration constraints, and geopolitical shocks, while affordability remains the central risk for incumbents. The US economy has continued to grow near 2% despite three major drags: tariffs, weaker workforce growth from tighter immigration policy, and uncertainty around the Iran conflict. The view was that growth could be closer to 3% absent these headwinds, with resilience supported by the US consumer, still strong wage gains, and AI-related investment. Politically, affordability remains the dominant issue for voters, as elevated costs for food, housing, transportation, and other necessities continue to outweigh otherwise solid economic fundamentals.

Congress is unlikely to deliver much meaningful legislation before the midterms, as fragile Republican majorities, limited legislative days, and a growing number of “free agent” Republicans constrain the White House agenda. The first year of the administration benefited from Trump’s mandate and party discipline, but that dynamic appears to be weakening as some Republicans retire, lose primaries, or no longer feel obligated to follow the White House. Reconciliation remains possible but lacks a clear framework, with defense spending viewed as the most likely vehicle if another package advances. Otherwise, the agenda is expected to center on government funding, a potential defense supplemental, passing the National Defense Authorization Act (NDAA), and select healthcare issues that Congress cannot easily defer. Trump’s comments that he is unconcerned about the midterms should not be interpreted as political disengagement. Rather, the discussion suggested he remains focused on reshaping the Republican Party, backing loyalists, defeating internal critics, and preserving flexibility through executive authority, even if he is less focused on protecting every Republican seat.

The midterm electoral outlook points to a competitive Senate race and a House that is more likely than not to flip Democratic, although the results may fall short of a full “blue wave.” North Carolina was viewed as the most vulnerable Republican-held Senate seat, while Ohio and Iowa were both described as highly competitive due to Democratic recruitment and continued weakness in the farm economy stemming from high input costs, depressed commodity prices, and trade-war pressures. Kansas, Nebraska, Texas, Maine, Alaska, Michigan, Georgia, and New Hampshire were also discussed as races worth watching, though the consensus remained that Republicans are still slightly favored to retain the Senate. The House, meanwhile, was viewed as the chamber most likely to flip, with Democratic gains potentially moderated by redistricting.

Democrats were viewed as benefiting from stronger candidate recruitment and voter enthusiasm, but the party continues to wrestle with an unresolved divide between its progressive and moderate wings. While New York City’s recent primary results were viewed as partly unique to the city, they were also seen as evidence that democratic socialists are building a deeper long-term political pipeline through down-ballot races. Outside of New York, however, the candidates competing in the most important House and Senate races are largely moderates focused on affordability and local economic issues rather than ideological debates. Moderates continue to struggle for visibility in a media environment that rewards more confrontational voices, while concerns around voter access, including mail-in voting, voter-roll scrutiny, documentation requirements, and the SAVE America Act, were all highlighted as potential factors that could influence turnout, particularly among lower-income voters, minorities, women, and other groups that traditionally face greater voting barriers.

Margins in Congress should remain narrow, in part reflecting structural changes in the House. The polarity of US elections (along with gerrymandering) has resulted in a drastic reduction of competitive seats in House races, falling from roughly 90 seats 20 years ago to around 20-30. This means that even if Democrats flip the House this year, they're unlikely to do so by a wide margin. The overall Senate race remains tight, with candidate quality clearly important in key states, but history suggests that material swings in polls are still possible, which would likely be driven by basic "kitchen table" issues like affordability.

7. Tariff policy is framed as normalization, not escalation.

The Trump administration's immediate aim is to restore tariff policy to the position it held prior to the Supreme Court decision on February 20, using alternative legal instruments rather than seeking a congressional extension.

Officials appear to be focused on reconstructing the pre-decision tariff landscape by relying on available executive authorities and investigations to replicate the levels and coverage that existed around mid-February. That effort is driven by a desire to avoid having to go back to Congress for statutory extensions and to present a consistent, predictable stance to trading partners. Two principal legal vehicles have emerged as the core of this approach. The Section 301 forced-labor investigation produced measures approximating a 10% tariff floor intended to substitute for the soon-to-expire Section 122 actions. A separate Section 301 probe into overcapacity is viewed as the likely source of additional tariff layers, potentially adding a roughly 5% increment for traditional allies, and as the mechanism to rebuild the overall tariff stack. However, procedural realities matter like investigation timelines, public comment periods, and the administrative workload at agencies such as USTR mean implementation is likely to be staggered rather than simultaneous, and policymakers are balancing these mechanics against other priorities. The Trump administration's overall posture is therefore characterized by a "buying time" strategy rather than rapid decoupling.

Tariff implementation is expected to be tiered across country groupings rather than uniform. USMCA partners Canada and Mexico are positioned to receive the most favorable treatment, with effectively very low or zero rates for compliant goods after accounting for USMCA rules. Traditional allies such as the EU, Japan and South Korea are expected to face mid-range rates (~15%), with the overcapacity probe potentially supplying the incremental tariff to reach that level. South and Southeast Asian suppliers (e.g., Indonesia, Vietnam) were exposed to higher rates in previous rounds and are likely to remain in a higher band at around 18%-20% compared with traditional allies. Elsewhere, China remains the outlier and is expected to face the highest differential, with speakers referencing a 23% effective tariff rate for China. However, the exact legal vehicle and sequencing to re-establish those higher China-specific rates remain subject to further investigation outcomes and political calculus (see [*How to Win a Trade War: Build First, Negotiate Second*](#), Joyce Chang, 15 Jun).

Figure 7: Announced and observed tariff rates

Percent; announced through May, observed through April

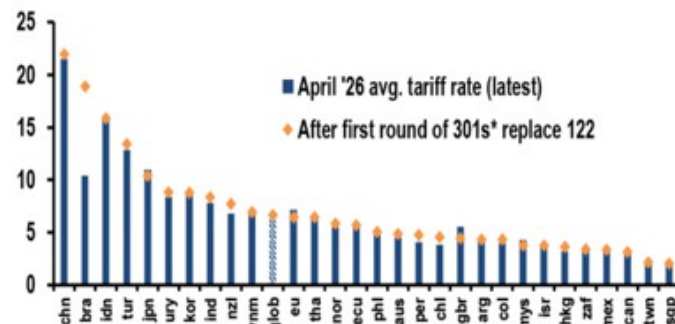


* Assumes missing products get 50% tariff.

Source: Census Bureau, UST, Yale Budget Lab, J.P. Morgan.

Figure 8: US tariff rates on select countries

%



* Forced labor and Brazil-specific announced tariff remedies.

Source: J.P. Morgan, Global Trade Alert, US Census Bureau.

The main constraint holding back faster tariff escalation on China is the rare earths and permanent magnet vulnerability; the US recognizes China could cut off critical supply at any time, with serious consequences for manufacturing and military applications. This is not a problem that can be solved quickly and estimates for building a mine from conception to commercial operation historically run around three decades. A speaker noted that China also appears to be selectively restricting Japan's permanent magnet supply, while continuing to supply the rest of the world, possibly to prevent competitors from entering the market.

The legal architecture for tariffs is shifting from the original Section 122 framework (struck down by the Supreme Court) toward Section 301 mechanisms, viewed by speakers as more legally durable. A new "forced labor" 301 action carries a rate floor of 10%, but a majority of countries under 301 investigations will likely see a 12.5% rate, with a separate overcapacity investigation still pending and considered more vulnerable to court challenges. A "Board of Trade" mechanism could exempt around \$30bn in goods from tariffs with some speakers believing they are being designed cautiously to avoid disadvantaging third countries like ASEAN members.

The legal durability of broad Section 301-style tariffs is uncertain. While Section 301 has been used to target specific foreign practices historically, using it as a near-global substitute for other tariff authorities raises legal questions that could be litigated. There is limited prior case law resolving those precise configurations, so outcomes could depend on novel legal arguments and judicial interpretations. This legal uncertainty, combined with procedural requirements for public consultation, contributes to unpredictability in timing and scope.

Exclusions and annexes have a disproportionate effect on the real economic impact of headline tariff rates. In practice, carve-outs for specific products, notably electronics, smartphones, laptops and other sensitive inputs, can blunt the effect of a stated tariff rate. Thus, headline percentages can materially overstate the protection actually experienced by particular industries or countries. The distribution of exclusions across product lines and countries, therefore, matters as much or more than the headline numbers when assessing trade and investment incentives.

8. Small businesses benefit from "manufacturing renaissance" tied to AI buildout.

Speakers highlighted that the massive wave of AI capex flows is benefiting small businesses, who are experiencing a small "manufacturing renaissance" tied to data

centers, defense, space, life sciences, and healthcare. Small businesses remain cautious given high policy uncertainty, especially around tariffs and cost structures, but they continue to hire, raise wages, and benefit from many of these same investment trends. This is illustrated by the investment flows entering Pennsylvania. Pennsylvania Governor Joshua Shapiro and Senator David McCormick (R-PA) have highlighted more than \$90bn in private sector investment in AI, designated to build the infrastructure needed to support AI development, energy generation and workforce advancement. Technology-driven growth across Pennsylvania falls into three categories: data centers, defense, life sciences and healthcare. Announced investments in Pennsylvania include \$20bn from Amazon to build new AI and cloud computing campuses, \$25bn from Blackstone to support the build-out of digital and energy infrastructure and to catalyze an additional \$60bn in overall investment into the state, \$3.5bn from Eli Lilly to build an injectable medicine and device manufacturing plant, and \$1bn from Johnson & Johnson to build a new cancer fighting manufacturing facility.

The potential for broader political backlash that complicates future AI infrastructure development was acknowledged. New benchmarks were recently announced by Governor Shapiro to balance AI advancement and confront growing community backlash.

9. “Constructive strategic stability” should hold for US–China relations over near term.

China-hawk momentum has faded. It has been uncommon to see an issue gather bipartisan support with significant momentum, but this was the case in the prior administration on China, and that momentum, exemplified by the House China Select Committee, has stalled. This does not necessarily reflect an ideological rethink, but rather practical realities about how to delicately manage change vis-à-vis China following last year’s developments.

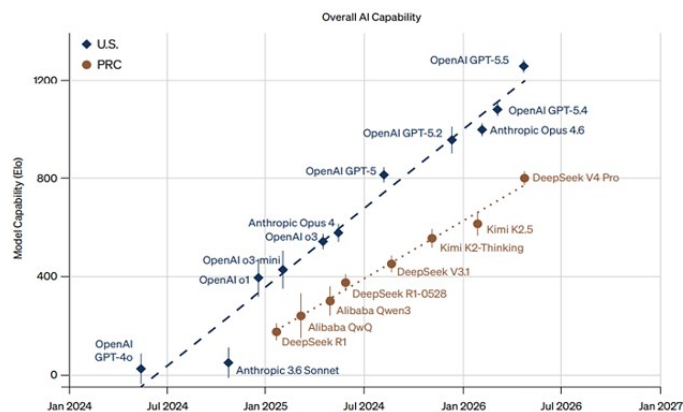
The US-China summit yielded few outcomes because the US entered with low ambitions centered on preserving stability. Leaders prioritized optics and continuity over pressing for broad or ambitious concessions. A speaker noted that Trump wants stability in the relationship but not much else from Xi Jinping beyond symbolic wins like rare earth flows continuing, Chinese purchases of US agricultural products and reduced Chinese facilitation of fentanyl precursor chemicals reaching the US. Just before the summit, the US had to pressure China over withheld export licenses for materials like yttrium, a violation of the November Busan trade truce, and a speaker noted that this kind of friction is now the “new normal.” The US action against Iran was seen as driven by Iran’s status as an undeterrable national security threat, distinct from how Washington views China, primarily as a trade and economic issue rather than a hard security threat in the president’s calculus. The question for the next summit would be whether the Busan trade truce will be extended past its November 10 expiration, and on what terms. Three more summits are expected and are likely to be aimed at maintaining surface-level stability through the rest of the year.

The China-US contest is increasingly playing out in third countries like Panama, Argentina, Brazil, and the Netherlands (via ASML) where China believes the US has achieved leader-to-leader stability while still applying pressure through other channels. According to a speaker, China is now developing its own toolkit to target US interests indirectly through third countries, mirroring how the US built sanctions tools across the first and second Trump administrations. European partners are increasingly anxious about Chinese economic pressure but show little sign of coordinating effectively with Washington, partly due to EU unanimity requirements that China can exploit by picking off individual member states.

Technology competition with China is becoming more difficult as China closes the innovation gap, requiring the US to rely on a broader and more complex economic security toolkit. A speaker framed the current environment as the product of four “China shocks”: 1) the import shock that reshaped parts of the US economy; 2) the expansion of dual-use technologies through China’s military-civil fusion strategy; 3) persistent cyber and intellectual property theft; and 4) a newer innovation shock in which China is increasingly reaching or surpassing the technological frontier in key sectors. As China closes the technology gap, export controls alone become less effective, forcing the US to rely on a more complicated mix of export controls, investment screening, industrial policy, subsidies, procurement, tax incentives, and alliances. The challenge is that these tools often work against one another, particularly when tariffs undermine relationships with allies or when export controls reduce revenues that companies would otherwise reinvest in research and development. Maintaining long-term technological leadership will likely require a more stable policy framework and stronger partnerships rather than relying solely on defensive measures. While the US may still be ahead on innovation, the gap is closing quickly, and China’s cost advantage is material. Our Center for Geopolitics notes that Chinese companies have made the most capable and widely used open AI models (see [Beyond the Benchmarks: A Systemic View of US-China AI Competition](#), JPMorganChase Center for Geopolitics, May 2026).

Figure 9: Chinese models closing the performance gap

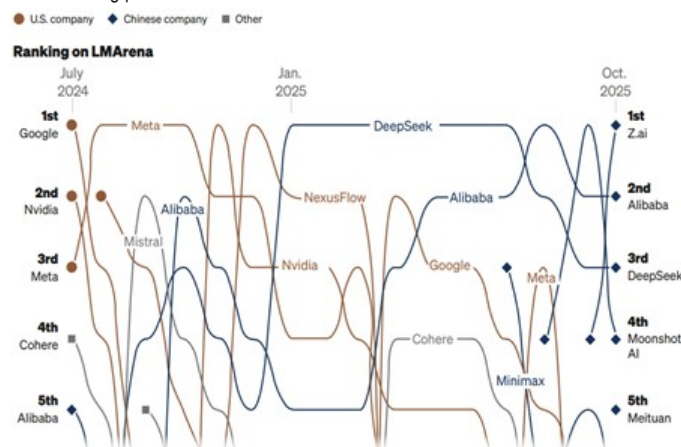
Comparison of aggregate capabilities over time of the most capable publicly released U.S. and PRC models according to a suite of benchmarks covering five domains (cyber, software engineering, natural sciences, abstract reasoning, and mathematics)



Source: U.S. Center for AI Standards and Innovation, [link](#).

Figure 10: Chinese companies have made the most capable open AI models

How each company's best open-weight model ranks on LMArena, a crowdsourced AI benchmarking platform



Source: LMArena.

Many countries face analogous exposure to Chinese market dominance in certain inputs, but there is limited evidence of deep, sustained cooperation to address these chokepoints collectively. Absent stronger multilateral frameworks or concerted allied action, individual countries will continue to face hard choices between facing short-term economic costs and accepting strategic vulnerabilities. The combination of legal ambiguity, administrative limits, domestic politics, strategic supply risks, and insufficient international coordination makes the near-term trajectory of tariff policy and supply-chain reshaping uncertain and likely gradual rather than abrupt.

Monitoring export-license flows, new Chinese supply-chain regulations, the design and timing of US tariff actions, and political developments in Taiwan will be important for anticipating near-term shifts. While major military action in Taiwan was assessed as unlikely in the near term, a speaker noted that political signaling and unscripted comments have introduced uncertainty. Key timelines and near-term dates to

watch include the Busan truce deadline on November 10 and whether it will be extended ahead of the September summit when Xi Jinping is expected to visit the US. Taiwan's local elections in November are a critical near-term political indicator, and speakers flagged a lower probability of major military action through 2027 with elevated risk potential around 2028. Xi's September trip also factors into US timing for possible arms-sale decisions.

10. G2 dynamics still anchor the global order narrative.

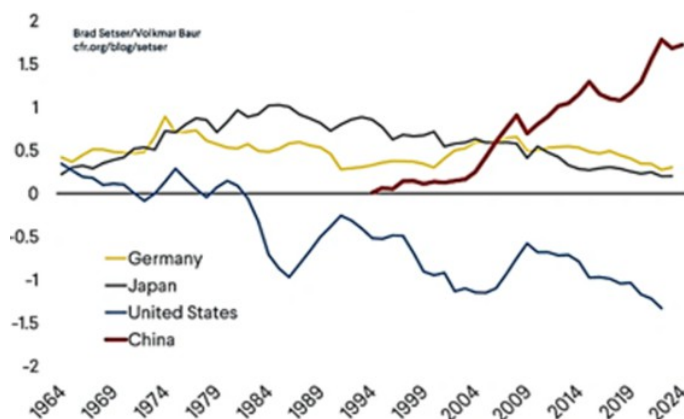
China's record trade surplus reflects increased dominance in Asia and EU trade.

However, trade and capital flow trends reflect slowing rates of growth rather than fragmentation, while regional integration is strengthening. Global trade continues to grow at ~3%, broadly in line with global GDP, while FDI flows have fallen as a share of GDP. However, regional trade agreements have risen from slightly more than 300 in 2020 to ~400 today, and these agreements now account for 60% of global trade, up from 40% in 1990¹.

While China dominates manufactured exports, it is far away and unlikely to become a financial superpower on the scale of the US. We see few signs that the global financial system will follow the geopolitical divisions already reshaping global trade. The constraint is that China has liberalized product markets much more than factor markets such as land, labor and capital, and that imbalance is tied to its political model. Without broader factor-market liberalization, its financial system is unlikely to rival US financial dominance.

Figure 11: Manufactured goods surplus

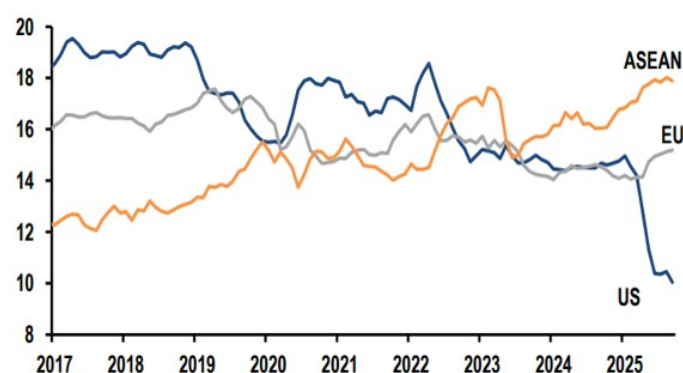
Chinese customs (GACC) Data with SITC Categories,
% Global GDP



Source: Brad Setser/Volkmar Baur, CFR.

Figure 12: China's export by market

% of total, sa 3mma



Source: CEIC, J.P. Morgan.

Although America First policies are fueling demand for global diversification, supporting Euro, Japan, and EM assets, US financial exceptionalism persists.

Figure 11 and Figure 12 show China's increased dominance in trade, but it continues to lag in its share of global equity markets. In addition, Figure 13 and Figure 14 show the gap between MSCI US and Europe and that the inflows into European equities were short-lived. However, our European equities strategy team has raised their target for MSCI Europe as the target of 630 set in the Year Ahead outlook published in November last year has been reached. They look for further upside from here, ranging from 5-10%, with updated Eurozone EPS growth forecast for 2026 that now stands at 18%, and 12% for 2027 (see [Equity Strategy: Look for further upside in Europe in 2H](#), Mislav Matejka,

1. [Three trends that could unlock a golden decade for developing economies](#), Indermitt Gill, World Bank, 11 Jun 2026

CFA, 29 Jun).

Figure 13: MSCI US and Europe share of MSCI World

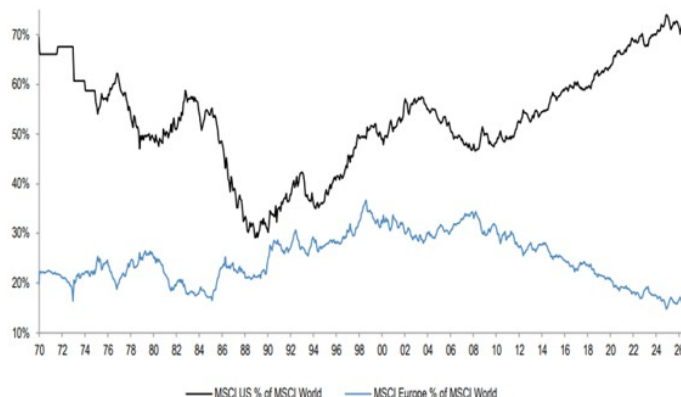


Figure 14: Whither the Middle Powers: Share of global equity market cap by country

data as of 14 May

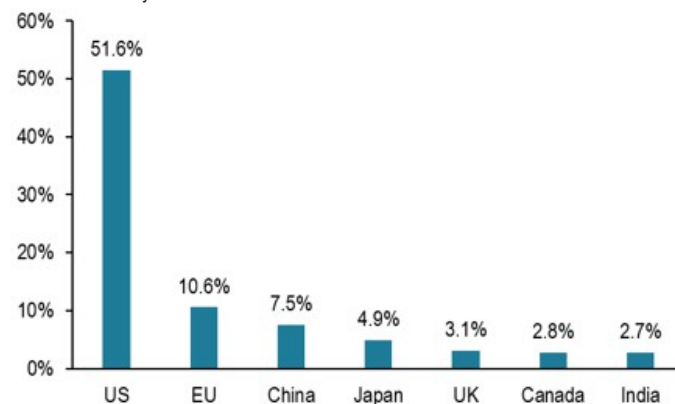
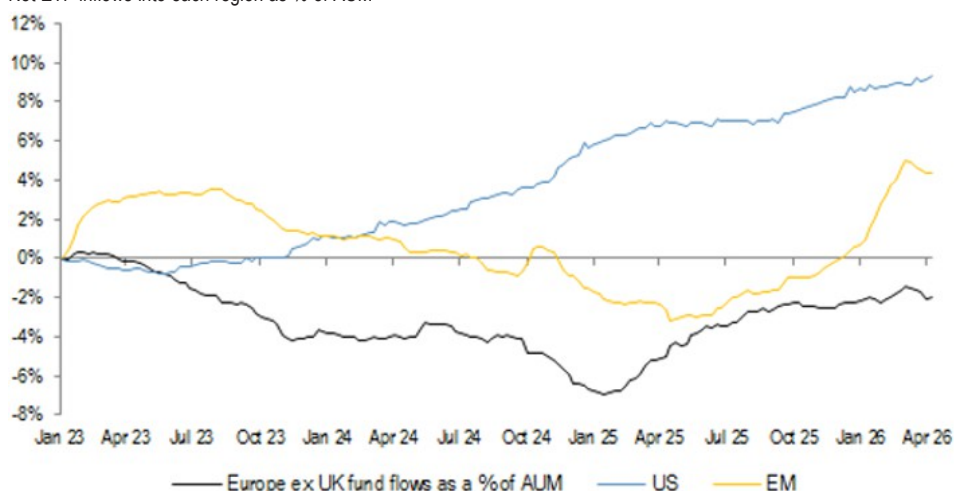


Figure 15: Outperformance of European equities was short-lived and equity inflows lag vs US and EM

Net ETF inflows into each region as % of AUM



EM faces structurally weaker growth than in the 2000s, with aggregate growth heavily concentrated in China and India. The World Bank notes that growth was ~6% in the 2000s, ~5.2% in the 2010-2019 period, and is forecast at ~3.6% for 2026. Excluding China and India, the comparable figures fall to ~3.3% in the 2010s and ~2.6% in 2026, suggesting that most of the asset class is growing at a mediocre pace. Advanced economies show a similar concentration effect, with the US carrying most of the performance.

Our EM equity strategists believe that the memory trade in EM has further room to run, with more significant supply additions not arriving before 2028. However, risks to EM rates include higher term premia and elevated global interest rates that make funding and servicing debt more difficult, and a notable disconnect between bond and equity markets that may affect investment. AI-driven investments in advanced economies are not expected to directly crowd out EM growth but could alter comparative dynamics by concentrating returns and shifting capital allocation. Rising

policy uncertainty and short-termism may also favor trades over long-term investments.

J.P. MORGAN MIDYEAR OUTLOOK VIEWS

Our global economics team asserts that the battle between the cycle and the energy shock is over, and the cycle has won. Despite the energy headwinds, 2Q growth is still tracking close to trend. Most recent economic data continue to point to a growth backdrop that aligns with the “2%-ish” GDP economy that has prevailed over the past year or two. The second half will still face headwinds as some supports fade and some drags remain. But the cyclical lift taking shape looks strong, and conviction is high that the expansion is on an upturn. Our US economics team trimmed their US 2Q GDP forecast from 3.0% to 2.25% and expect a 125k rise in payrolls and an unchanged unemployment rate of 4.3% in June.

If only we were so lucky to also have a “2%-ish” core inflation economy. Instead, core PCE inflation in May rose another 0.32%, lifting the year-ago measure to 3.4%—its highest reading since late 2023. Oil prices extended losses this week as oil flows through Hormuz ramped up to over 50% of pre-war levels. Recent reported data also suggests that the market relied more on demand destruction, as opposed to inventories, for its rebalancing. Our [commodities strategy team forecast](#) Brent averaging \$86/bbl in 3Q26 and \$80/bbl in 4Q26, exiting 2026 at \$78/bbl and averaging \$64/bbl in 2027.

While oil prices have come down like a rock, gasoline prices look more like a feather. The spread between retail and wholesale gasoline prices compressed when crude prices jumped, but if they return to prior levels then gasoline could stay close to \$4 during 2H26. The slow decline should delay the onset of relief for consumers, and this implies that the decline in crude oil prices overstates how much headline inflation will likely fall in coming months.

The conversation is shifting to the next battle, which is if, when, and by how much central banks will need to tap the brake to get inflation contained. Another strong month of job growth could lower the bar for markets to price in further tightening, and the risks for Treasury yields seem skewed higher over the medium term. Our US rates strategy team notes that intermediate Treasuries have underpriced this risk as 10-year yields are trading 27bp below their model-implied fair value.

Our US equity strategy team remains constructive on equities and has upgraded their outlook as the US-led AI capex cycle continues to translate into unusually strong earnings revisions. With strong earnings and higher capex validating the AI upstream theme and geopolitics shifting toward de-escalation, they see conditions as increasingly consistent with their “Blue Sky” scenario and raised their [S&P 500 year-end price target to 7,800](#). In international equities, they stay OW EM and favor Japan as an idiosyncratic story. Korea remains their most preferred market in the region, and [they raised their 12m-out base case KOSPI target to 12,500](#).

See J.P. Morgan Global Research’s [2026 Midyear Outlook](#).

WHITE HOUSE MIDTERM VIEWS: LOOKING THROUGH THE FALLOUT FROM THE IRAN CONFLICT

The Trump administration expects roughly 3% GDP growth over the next several years against the CBO’s conservative estimate of 1.7%, driven by tax policy, deregulation, and a labor market that’s holding up better than expected. The labor market continues to look healthy, and the unemployment rate is expected to decline further over the next several years as provisions from OBBBA are phased in. Growth is

only one leg of a stool that also includes spending cuts and tariff revenue, with the goal being to get the primary deficit to zero by the end of the 10-year budget window and to see debt-to-GDP flatline.

They see deregulation as a driver of growth, contributing 50bps or more to GDP growth and having disinflationary effects. The pace of deregulation has accelerated, and what started as roughly 10 regulations removed for every new one early in the administration's term climbed to over 30-to-1 last year and is now running above 100-to-1. Deregulation and productivity gains should drive interest rates lower. With housing affordability a major concern, there were three executive orders this year addressing institutional ownership of homes, easing lending barriers for community banks and reducing regulatory barriers more broadly, with the total regulatory burden on housing costs estimated at over \$100,000 per home.

Tariffs are primarily a strategic tool rather than a revenue generating tool. The goal is to lower barriers and pressure trading partners into reducing their own non-tariff barriers, with supply chain resilience around critical minerals and pharmaceuticals as the main driver for tariff policy.

The data so far does not support a scenario of mass unemployment with the expansion of AI. Some job displacement is occurring in specific occupations, but the proper framework is to think of jobs as bundles of tasks, some of which AI fully replaces, and others which AI makes more productive. The administration intends to lead in AI while watching closely for disruption, as there were instances in the past of concentrated, unaddressed job losses from trade and technological change that led to both economic harm and political backlash.

IMF WORLD ECONOMIC OUTLOOK: GEOECONOMIC FRAGMENTATION TO DEFINE THE NEXT DECADE

Goeconomic fragmentation is likely to define the next decade, with markets unlikely to return to a more stable global environment even if near-term geopolitical tensions ease, as recurring supply chain disruptions, higher real interest rates, and persistent fiscal and inflation pressures become structural rather than cyclical. While the immediate Middle East conflict has not materially altered the IMF's forecast with global growth projected at 3.1% in 2026, the speaker argued that investors should focus less on the current shock and more on the longer-term forces reshaping the global economy. Oil prices have broadly tracked the IMF's April assumptions as inventory drawdowns have absorbed much of the disruption, but stronger demand for strategic reserves and energy security should create a higher floor for oil prices over time. More broadly, the combination of wars, trade disputes, sanctions, export controls, and tariffs has fundamentally changed how countries use economic policy as a geopolitical tool. Although companies have demonstrated remarkable resilience by rewiring supply chains and rebuilding inventories, this comes with a tradeoff. Diversified supply chains should reduce the immediate impact of shocks but will likely make disruptions more persistent, while governments are increasingly working to develop economic leverage, which suggests episodes of economic coercion are likely to become more frequent.

AI was described as an increasingly narrow driver of global growth that disproportionately benefits the US and a handful of Asian economies integrated into semiconductor supply chains, while many emerging and frontier markets are being left behind. The AI investment boom is already redirecting global capital toward developed markets, contributing to negative net equity flows from emerging markets despite supportive financial conditions. At the same time, surging demand for

semiconductors and computing infrastructure is contributing modestly to inflation, creating supply bottlenecks, and generating significant export windfalls for economies such as Korea and Taiwan.

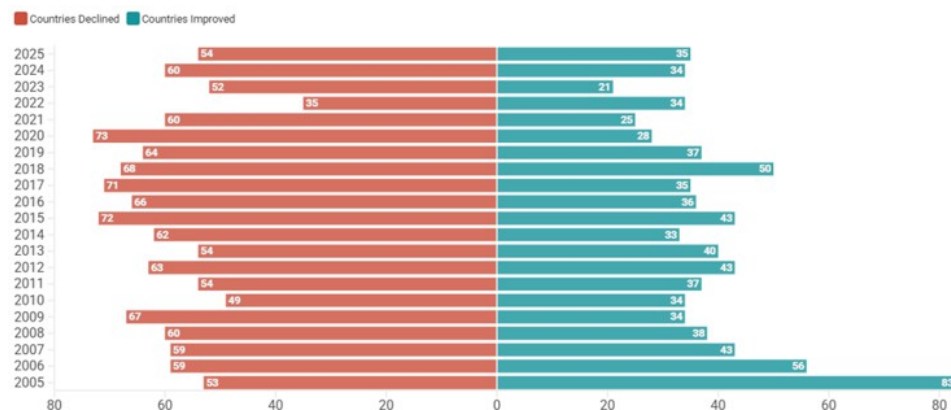
Higher debt levels combined with a return to historically normal real interest rates have made fiscal sustainability increasingly challenging, particularly as stronger primary balances are now needed simply to stabilize debt. Although debt accumulation has been concentrated in the US and China, many emerging markets have stabilized debt dynamics only by running stronger primary balances rather than benefiting from stronger growth. Looking ahead, AI investment, defense spending, industrial policy, and supply chain resilience are all expected to push neutral real interest rates higher, outweighing the downward pressure from aging demographics.

Trade fragmentation is advancing much faster than financial fragmentation, raising the risk that the global financial system will increasingly mirror the geopolitical divisions already reshaping global trade. Bilateral US-China trade has fallen sharply even as global capital flows, payment systems, and financial infrastructure remain highly integrated, raising questions about whether financial fragmentation may eventually follow. More resilient and diversified supply chains also reverse some of the disinflationary benefits of globalization by requiring additional insurance, redundancy, and production costs, placing gradual upward pressure on inflation over time. In the near term, however, the more immediate inflationary pressures stem from strong AI-driven demand, elevated energy prices, and inflation that has already remained above target for an extended period.

FREEDOM HOUSE: GLOBAL THREATS TO DEMOCRACY AND FREEDOM ACCELERATING

Freedom House's [latest data](#) show that global democracy has now declined for 20 consecutive years, with the US continuing to experience a meaningful deterioration in its democratic indicators. Freedom House has now tracked global political rights and civil liberties for 53 years, making its Freedom in the World index one of the longest-running democracy datasets available. The latest report found 54 countries experienced declines while only 35 improved, with the US remaining rated "Free" but declining three points to 81 out of 100, bringing its cumulative decline to 12 points over the past two decades, compared with roughly a 4-point average decline across EU member states. The deterioration reflects concerns around corruption, freedom of expression, congressional dysfunction, and executive overreach rather than any single administration.

Figure 16: 20 Years of Decline in Global Freedom



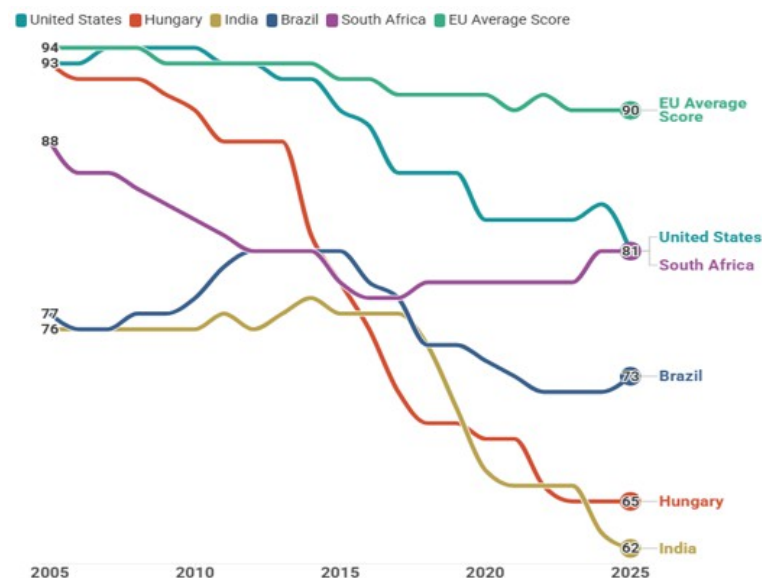
Note: Countries whose scores were unchanged are not included in this comparison. Population data are from the Population Reference Bureau's 2024 World Population Data Sheet.

Source: Freedom House.

Our Long-term Strategy team has observed that long-term stock market returns have been lower after countries experience a downgrade than after an upgrade or no rating change, in absolute terms and relative to the rest of the world. After a downgrade, equity returns have been ~5% pa lower over a 10-year period than for markets where the country has been upgraded, and ~2.5% pa lower than for countries where there was no rating change. The lower returns of downgraded countries have consisted of both weaker earnings growth and a weaker currency rather than lower P/E multiples (see [The Long-term Strategist: Democracy metrics and equity markets](#), Alexander Wise, 21 Oct 2021).

Speakers argued that populism has not yet peaked, particularly in Europe, where major political shifts in countries such as Germany or France could significantly reshape the EU's economic and geopolitical agenda. Europe was also viewed as increasingly caught between US and Chinese technological leadership, lacking a sufficiently competitive domestic technology ecosystem to establish true strategic autonomy.

Figure 17: The US Score in Perspective



Source: Freedom House.

Freedom House noted that annual assessments may no longer be sufficient to capture the speed of democratic developments in the US and highlighted growing concerns around election administration, gerrymandering, executive-legislative balance, and changes to election rules close to elections. Participants emphasized that democratic legitimacy depends on stable electoral rules and on voters choosing their representatives rather than politicians choosing their voters through redistricting. More broadly, speakers suggested that Congress has yet to determine how it will reassert its institutional role after an extended period in which policymaking has increasingly shifted toward executive action, particularly in areas such as technology governance.

Appendix

J.P. Morgan Research

[Replay: 2026 Mid-Year Outlook Call](#), Global Research, 25 June 2026

[2026 Mid-Year Outlook](#), Global Research, 24 June 2026

[How to Win a Trade War: Build First, Negotiate Second](#), Joyce Chang & Amy Ho, 15 June 2026

[From Barrels to Ballots: Middle East and Midterm Elections](#), Joyce Chang & Amy Ho, 12 June 2026

JPMorganChase Center for Geopolitics

[Brink: A Year of Insights into a World on Edge](#), JPMorganChase Center of Geopolitics, 22 June 2026

[Beyond the Benchmarks: A Systemic View of US-China AI Competition](#), JPMorganChase Center of Geopolitics, May 2026

[A Fragile Truce: What the Trump-Xi Summit Did—and Didn't—Deliver...And What's Next](#), JPMorganChase Center of Geopolitics, 26 May 2026

Podcasts

[All into Account: How to Win a Trade War](#), Joyce Chang, 15 June 2026

[All Into Account: From Barrels to Ballots: Middle East and Midterm Elections](#), Amy Ho, 12 June 2026

[All into Account: What to Watch for at the Trump-Xi Summit](#), Joyce Chang & Amy Ho, 12 May 2026

External Reports

[Mortgage Market Structure and the Transmission of Monetary Policy During the Great Inflation](#), Aaron Hedlund et al., IZA Institute of Labor Economics, June 2025

[What does a multipolar currency system actually look like?](#), Mark Sobel, OMFIF, 15 June 2026

[Three trends that could unlock a golden decade for developing economies](#), Indermit Gill, World Bank Blogs, 11 June 2026

[A Rising Challenge](#), Steven Kamin et al., AEI, 11 June 2026

[Businesses Should Expect Interest Rates to Remain Steady](#), Curtis Dubay, U.S. Chamber of Commerce, 28 May 2026

[Bond yield volatility: just 'yips' or the return of vigilantes?](#), Mark Sobel, OMFIF, 27 May 2026

[Will the AI Economy Have a Middle Class? The Case for an AI Homestead Policy](#), Navin Girishankar, CSIS, 22 May 2026

[Responding to the Energy and Food Price Shock: Getting the Policy Details Right](#), IMF Blog, Pierre-Olivier Gourinchas et al., 20 May 2026

[Iran Must Not Rule the Strait of Hormuz](#), Brian Carter and Nicholas Carl, AEI, 7 May 2026

[Applying US Air Warfare Theory and Doctrine to Evaluate the Campaign Against Iran, Part II: Iranian Missile Forces](#), Brian Carter and Nicholas Carl, AEI, 4 May 2026

[Resilient but Cautious: Small Businesses Moderate Growth Plans in Latest Index](#), U.S. Chamber of Commerce, 9 April 2026

[*How the War in the Middle East Is Affecting Energy, Trade, and Finance*](#), Pierre-Olivier Gourinchas et al., IMF Blog, 30 March 2026

[*It's a free country — for 21 percent of the world: Around the world, freedom is taking a beating*](#), Jamie Fly and Yana Gorokhovskaia, The Washington Post, 19 March 2026

[*Termites Are Slowly Feasting Away at the Foundations of the Dollar's Dominance*](#), Steven Kamin and Mark Sobel, AEI, 28 January 2026

[*What to Expect from the Economy in 2026*](#), Curtis Dubay, U.S. Chamber of Commerce, 6 January 2026

[*America Needs Economic Warriors: A New Era of Statecraft Demands a New Kind of Strategist*](#), Navin Girishankar, Foreign Affairs, 30 December 2025

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